

MODULE 3, CHAPTER 1: THE FOUNDATION OF MOTOR INSURANCE

Scope and Purpose

- **Definition:** Motor insurance pertains to the ownership, maintenance, and use of a motor vehicle [cite: 11].
- **The Standard Policy:** In the Philippines, the Motor Car Policy is a standard policy where terms and conditions are the same across all insurance companies, approved by the Insurance Commission [cite: 11].
- **Two Types of Coverage:** The policy is split into **Physical Damage** (protecting your vehicle) and **Liability Insurance** (covering bodily injury or property damage to others) [cite: 11].

Section I: Compulsory Third Party Liability (CTPL)

- **Requirement:** CTPL is required by the Land Transportation Office (LTO) to register a vehicle, evidenced by a Certificate of Cover (COC) [cite: 11].
- **Limits:** It pays a limit of **100,000 pesos** for death or bodily injury to a third party [cite: 11].
- **Authorized Driver:** Protection applies to the Insured and the Authorized Driver (someone with permission, a valid license, and not disqualified by a court of law) [cite: 11].
- **Driving Other Car Clause:** Covers the insured even when personally driving another vehicle they do not own, applicable specifically to private cars and motorcycles [cite: 11].

Section II: No-Fault Indemnity

- **Compassionate Relief:** The insurance company pays claims for bodily injury and/or death to a third party or passenger without the necessity of proving fault or negligence [cite: 11].
- **Limits:** The total indemnity for any one third party is capped at **15,000 pesos** [cite: 11].
- **Proof Required:** Claimants must provide basic proof under oath, such as a police report, medical receipts, or a death certificate [cite: 11].

Key Takeaway: You cannot register a vehicle without CTPL (Section I). Remember the financial limits: CTPL pays up to 100,000 pesos, while No-Fault Indemnity provides immediate relief up to 15,000 pesos without needing to prove who caused the accident!